

Adverse Action and Applicant Communication Standard

Ashva Capital Credit Policy Document

Document ID: CPD-001 - Declines

Effective Date: 01 March 2023

Purpose: This policy outlines the procedures for handling declined credit applications, ensuring transparency, consistency, and fairness in the decision-making process.

Scope: This policy applies to all credit underwriters and decision-makers within Ashva Capital.

1. Mandatory Content of Decline Notice

A decline notice must include the following mandatory information:

- 1.1. Account number and borrower name
- 1.2. Reason code for the decline (refer to Section 3, Approved Reason Codes)
- 1.3. Clear explanation of the reason for decline, where applicable
- 1.4. Contact information for the underwriter or decision-maker
- 1.5. Appeal procedure and deadline (refer to Section 5, Appeal Process)
- 1.6. Record reference number for future reference

2. Maximum Permitted Turnaround

All decline notifications must be sent to the applicant within 3 business days of the decision being made. This timeframe is mandatory, and any exceptions must be approved by the Chief Credit Officer in writing.

3. Approved Reason Codes

The following reason codes may be used to decline a credit application:

- 3.1. RC-001: Insufficient credit history
- 3.2. RC-002: High debt-to-income ratio
- 3.3. RC-003: Unstable employment history
- 3.4. RC-004: High credit utilisation
- 3.5. RC-005: Late or missed payments on existing credit accounts
- 3.6. RC-006: Inadequate income verification
- 3.7. RC-007: Credit score below the minimum threshold (700)
- 3.8. RC-008: Other (specify reason, where applicable)

4. Prohibition on Citing Unapproved Reason Codes

Under no circumstances may an unapproved reason code be used to decline a credit application. Any such instances will be considered a breach of this policy and may result in disciplinary action.

5. Appeal Process

The applicant has 5 business days from receipt of the decline notice to submit an appeal. Appeals must be made in writing and addressed to the Chief Credit Officer. The appeal will be reviewed, and the decision made within 10 business days.

6. Record Retention Period

All decline notifications, along with supporting documentation, must be retained for a minimum period of 5 years from the date of the decision. Electronic records must be stored securely, and paper copies must be stored in a fireproof safe.

Amendments

This policy is subject to regular review and may be amended at any time by the Chief Credit Officer. All changes will be communicated to underwriters and decision-makers through a centralized change management system.

Acceptance

All underwriters and decision-makers must acknowledge their understanding and acceptance of this policy upon employment or assignment.